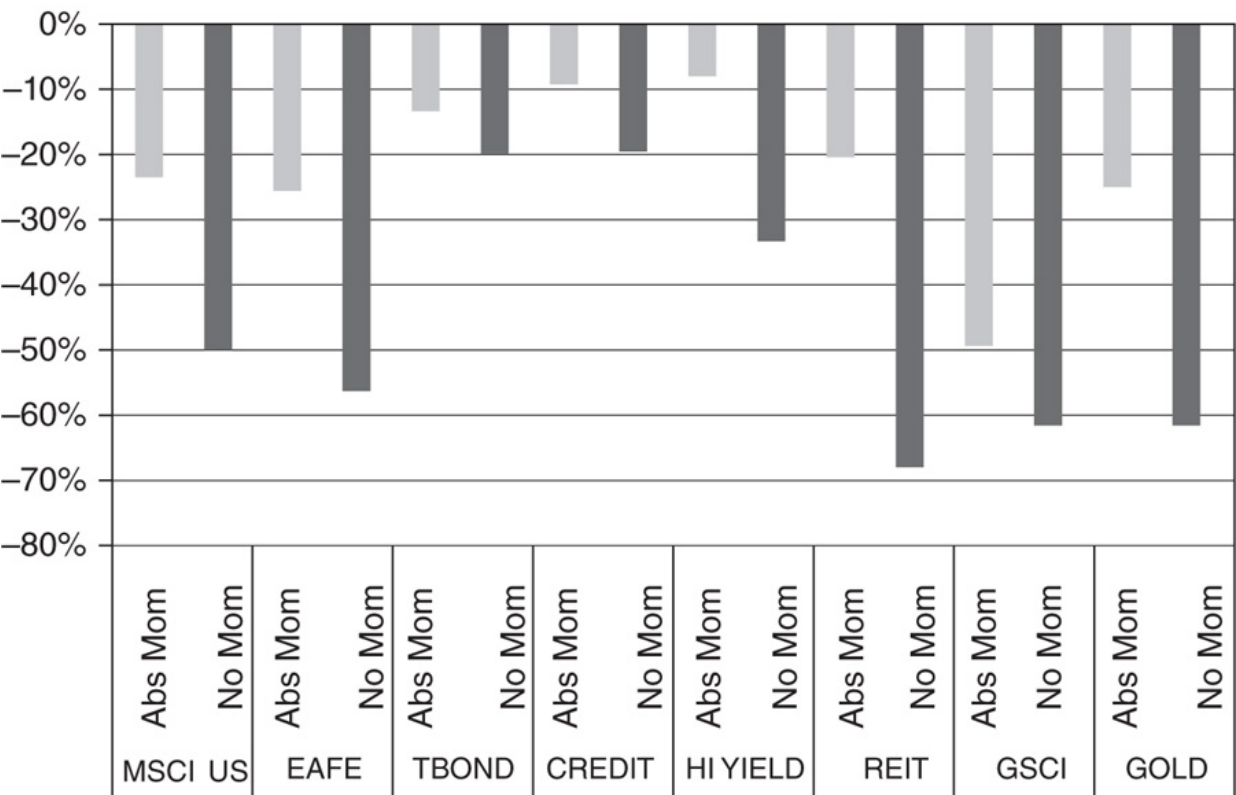


**Figure B.3 Percentage of Profitable Months, 1974–2012**



**Figure B.4 Maximum Monthly Drawdown, 1974–2012**

Table B.3 shows the monthly correlations between our assets, with and without the application of absolute momentum. The average correlation of the eight assets without absolute momentum is 0.22, and with absolute momentum, it is 0.21. There is no indication from our data that absolute momentum, in general, increases correlation. This has positive implications for applying absolute momentum to multiasset portfolios, which we look at next.

**Table B.3 Monthly Correlations, 1974–2012**